

RBI Governor Sanjay Malhotra stressed the need for enhanced cyber security in the financial sector. He urged banks and NBFCs to improve preventive controls, implement 2FA for international transactions, and establish robust incident response mechanisms. Plans include exclusive 'bank.in' and 'fin.in' domains for secure banking.

The RBI has been actively working to improve digital security in banking and payments, and Malhotra proposed extending additional authentication measures for international digital payments to offshore merchants that are capable of supporting such protocols. A draft circular for feedback from stakeholders is expected to be issued soon.

Malhotra noted that while the rapid digitalization of financial services has increased convenience, it has also heightened exposure to cyber risks. The rise in digital frauds, he mentioned, requires collective action from all stakeholders in the sector.

The Reserve Bank of India (RBI) Governor, Sanjay Malhotra, emphasized the importance of enhancing cyber security measures in the financial sector. He urged banks and non-bank financial companies (NBFCs) to continually upgrade their preventive and detective controls to mitigate cyber risks.

In his announcement during the RBI's bi-monthly monetary policy on Friday, Malhotra called for the implementation of second factor authentication (2FA) for all international online transactions, underscoring its role in bolstering digital security.

"Banks and NBFCs must continuously improve preventive and detective controls to mitigate cyber risks," Malhotra said while announcing his maiden bi-monthly monetary policy. "They must develop robust incident response and recovery mechanisms, reinforced through periodic testing, for operational resilience."